Superior Court of the State of California
County of Orange
TENTATIVE RULINGS FOR DEPARTMENT N16

HON. Donald F. Gaffney

Counsel and Parties Please Note:
Law and Motion in Department N16 is heard on Wednesdays at 9:00 a.m.

Date: September 2, 2026

Tentative Rulings will be posted on the Internet on the day before the hearing by 5:00 p.m. [or earlier] whenever possible. To submit on the tentative ruling, please contact the clerk at (657) 622-5616, after contacting opposing party/counsel. Prevailing party shall give notice of the Ruling and prepare the Order/Judgment for the Court's signature if required.

NOTE: After posting of tentative rulings, the Court will not take the motion off calendar and will grant a continuance of the motion only upon stipulation of all affected parties.

If no appearances are made on the calendared motion date, then oral argument will be deemed to have been waived and the tentative ruling will become the Court's final ruling.

#	Case Name	Tentative
1	Diyar Irvine, LLC vs. Elzoheiry	**TENTATIVE RULING:** **Demurrer to Cross-Complaint** Cross-Defendants Diyar Irvine, LLC, Green City Development, LLC, Sadek El Seqedy, and Ahmed El Sewedy demur to the Cross-Complaint filed by Cross-Complaint Andrew Abas ("Abas"). For the following reasons, the demurrer is SUSTAINED WITHOUT LEAVE TO AMEND. **Statement of Law** In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (C*undiff v. GTE Cal., Inc*. (2002) 101 Cal.App.4th 1395, 1404-05.) A demurrer is limited to the "four corners" of the pleading (which includes exhibits attached and incorporated therein) or from matters outside the pleading which are judicially noticeable under Evidence Code §§ 451 or 452.

Merits

On August 20, 2026, Abas filed a dismissal of the first cause of action (equitable indemnity) and the second cause of action (contribution) in the Cross-Complaint filed July 15, 2026 (ROA 2136) only as to Cross-Defendants Diyar Irvine, LLC; Green City Development, LLC; Sadek El Sewedy; and Ahmed El Sewedy. (ROA 2199.) The parties agree that the demurrer to the first and second causes of action is rendered moot.

Thus, the only remaining claims as against moving Plaintiffs / Cross-Defendants are the third cause of action for negligence and the sixth cause of action for declaratory relief.

On December 18, 2023, this Court (Judge David J. Hesseltine) sustained Plaintiffs and Cross-Defendants' demurrer to the Third Amended Cross-Complaint (TACC) filed by Toorak Capital Partners, LLC without leave to amend. Toorak's TACC asserted a cause of action for negligence, and the Court sustained the demurrer to that cause of action, principally on the grounds that Plaintiffs had no duty to protect Toorak against criminal conduct by third parties and the negligence claim is also barred by the economic loss rule.

Plaintiffs/Cross-Defendants assert that the demurrer to Abas' Cross-Complaint should be sustained on the same grounds.

The negligence cause of action in Abas' Cross-Complaint alleges:

> 70. Plaintiff Cross-Defendants, as the owners of the subject properties and entities, owed a duty of reasonable care to exercise oversight and supervision over their agent Elzoheiry and the management of their real property holdings. This duty of care was heightened by Plaintiffs' documented prior experience with agent misconduct, specifically the approximately $2,000,000 misappropriation by Tawfik.
> 71. Plaintiff Cross-Defendants breached their duty of care by, inter alia: (a) failing to exercise any meaningful supervision over Elzoheiry from at least 2016 through 2021; (b) failing to implement internal controls, financial auditing procedures, or oversight mechanisms despite the documented Tawfik misconduct; (c) failing to monitor property records, title reports, and financial statements that would have revealed the existence of unauthorized encumbrances on the subject properties; (d) maintaining a registered business address for Diyar and Green City that was accessible to Elzoheiry rather than to the Elsewedys; (e) executing the Green City

> Development Agreement delegating broad authority to Elzoheiry's entity, KAZ, without commensurate oversight; (f) through their agent Rutan, drafting and perpetuating Authorizing Resolutions that clothed Elzoheiry with documented authority relied upon by Cross-Complainant and multiple independent professionals. Cross-Complainant's position is consistent with and supported by the positions taken by the lender-defendants.

Plaintiffs rely on *Sheen v. Wells Fargo Bank* (2022) 12 Cal.5th 905. In *Sheen*, the plaintiff alleged the lender had a duty to respond to his loan mod application and that by breaching that duty " 'for[went] alternatives to foreclosure' ". (*Sheen* at 915) The court held "that when a borrower requests a loan modification, a lender owes no tort duty sounding in general negligence principles to 'process, review and respond carefully and completely to' the borrower's application." (*Sheen* at p. 948.) This was based on the Supreme Court's observation that plaintiff had an agreement with the bank that specified the parties' rights and obligations with respect to the loan, including foreclosure. The Court held that "To impose a tort duty in such circumstances would go further than creating obligations unnegotiated or agreed to by the parties; it would dictate terms that are contrary to the parties' allocation of rights and responsibilities. The proposed duty would impede [the bank's] right to foreclose by permitting foreclosure only after [the bank] discharges a tort duty to 'process, review and respond carefully and completely to [a borrower's] loan modification application[s].' " (*Id*. at p. 925.)

Plaintiffs also assert that there was no duty to protect Abas from Elzoheiry's criminal conduct. As a general proposition, there is no duty to protect against criminal conduct by third parties, absent a special relationship or knowledge of previous criminal conduct. (See *Delgado v. Trax Bar & Grill* (2005) 36 Cal.4th 224, 234-235.)

Abas argues that this rule does not apply because his Cross-Complaint pleads Plaintiffs' own "affirmative" conduct. Specifically, the Cross-Complaint alleges that Plaintiffs and their counsel, Rutan & Tucker, drafted and transmitted the instruments authorizing Elzoheiry as CEO and President of Diyar. (Cross-Complaint, ¶¶ 40-50.)

However, an attorney owes no duty of care to a non-client in an at arm's length relationship. (*Osornio v. Weingarten* (2004) 124 Cal.App.4th 304, 320, *as modified on denial of reh'g (Dec. 16, 2004)* ["The Supreme Court very recently reiterated that the general rule [is] that an attorney owes a duty of care, and is thus answerable in

		malpractice, only to the client with whom the attorney stands in privity of contract."], internal quotation marks omitted.) Courts have extended an attorney's duty of care to nonclients, such as will and trust beneficiaries, in limited circumstances. (*Lucas v. Hamm* (1961) 56 Cal.2d 583 [permitting malpractice suit by will beneficiaries against attorney whose negligent preparation of a will caused them to lose their testamentary rights].) Whether an attorney owes a nonclient a duty of care depends on an analysis of the *Biakanja* factors, which are discussed below. (*Paul v. Patton* (2015) 235 Cal.App.4th 1088, 1096, citing *Biakanja v. Irving* (1958) 49 Cal.2d 647.) With respect to the economic loss rule, Plaintiffs argue that "Plaintiffs owed no duty to protect Abas from the purely economic losses he asserts as damages." (Demurrer at 13:8-9) As discussed previously, Plaintiffs rely on *Sheen* which held that "[i]n general, there is no recovery in tort for negligently inflicted 'purely economic losses.' " (Dem. at 13:3-4) Abas argues that *Sheen* only applies when the parties are in privity of contract. Part of the rationale from *Sheen* was that the economic loss rule "functions to bar claims in negligence for pure economic losses in deference to a contract between litigating parties." (*Sheen* at 922.) In reply, Plaintiffs argue that the economic loss rule does not require a contract or a viable contract claim as a prerequisite. However, *Sheen* generally applies where the parties are in privity of contract: > The economic loss rule most generally applies to suits between the parties to a contract. But as observed in *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 922, 290 Cal.Rptr.3d 834, 505 P.3d 625 (*Sheen*), a version of the doctrine may also apply in cases involving parties not in contractual privity, such as when a plaintiff seeks to impose " ' "liability in an indeterminate amount for an indeterminate time to an indeterminate class." ' " (*Id.* at p. 922 [Citations].) But this case, like *Sheen*, falls into the more traditional "contractual economic loss rule" category of cases. (*Sheen*, at p. 923, 290 Cal.Rptr.3d 834, 505 P.3d 625.) (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 19, fn. 3.) The Cross-Complaint here does not seek to impose liability in an indeterminate amount for an indeterminate time to an indeterminate class.

		However, application of the *Biakanja* factors shows that Plaintiffs did not owe a duty of care to Abas. "The principal question is whether defendant was under a duty to exercise due care to protect plaintiff from injury and was liable for damage caused plaintiff by his negligence even though they were not in privity of contract." (*Biakanja v. Irving* (1958) 49 Cal. 2d 647, 648) "The primary exception to the general rule of no-recovery for negligently inflicted purely economic losses is where the plaintiff and the defendant have a "special relationship." (*J'Aire Corp. v. Gregory* (1979) 24 Cal.3d 799, 804.) What we mean by special relationship is that the plaintiff was an intended beneficiary of a particular transaction but was harmed by the defendant's negligence in carrying it out. Take, for example, *Biakanja v. Irving* (1958) 49 Cal.2d 647. There, we held that the intended beneficiary of a will could recover for assets she would have received if the notary had not been negligent in preparing the document. (*Id.* at pp. 650-651.) A special relationship existed between the intended beneficiary and the notary in *Biakanja*, we emphasized, because "the 'end and aim' of the transaction" between the nonparty decedent and the notary was to ensure that the decedent's estate passed to the intended beneficiary. (*Id.* at p. 650.)" (*S. California Gas Leak Cases* (2019) 7 Cal.5th 391, 400; *see also The Ratcliff Architects v. Vanir Construction Management, Inc*. (2001) 88 Cal.App.4th 595, 605 - "Courts sometimes impose a duty to prevent pure economic loss when there is no privity of contract when the injured party is an intended beneficiary of a contract between the defendant and another party.") The Court in *Desert Healthcare Dist. v. PacifiCare FHP, Inc*.(2001) 94 Cal. App. 4th 781, sets forth the general rule where the partis are not in privity and the case involves purely economic loss: "The threshold element of a cause of action for negligence is the existence of a duty to use due care toward an interest of another that enjoys legal protection against unintentional invasion. [Citation.] Whether this essential prerequisite to a negligence cause of action has been satisfied in a particular case is a question of law to be resolved by the court. [Citation.] [¶] A judicial conclusion that a duty is present or absent is merely ' "a shorthand statement ... rather than an aid to analysis.... '[D]uty,' is not sacrosanct in itself, but only an expression of the sum total of those considerations of policy which lead the law to say that the particular plaintiff is entitled to protection." ' [Citation.]" (*Bily v. Arthur Young &*

> *Co.* (1992) 3 Cal.4th 370, 397); see also *Quelimane Co. v. Stewart Title Guarantee Co.* (1998) 19 Cal.4th 26, 57–58)
>
> Where there is no privity of contract between parties in a case involving purely economic loss, California courts have evaluated the question of duty by looking to the general factors set forth in *Biakanja v. Irving* (1958) 49 Cal.2d 647): "The determination whether in a specific case the defendant will be held liable to a third person not in privity is a matter of policy and involves the balancing of various factors, among which are [1] the extent to which the transaction was intended to affect the plaintiff, [2] the foreseeability of harm to him, [3] the degree of certainty that the plaintiff suffered injury, [4] the closeness of the connection between the defendant's conduct and the injury suffered, [5] the moral blame attached to the defendant's conduct, and [6] the policy of preventing future harm." (Citations.) (*Desert Healthcare Dist. v. PacifiCare FHP, Inc*.(2001) 94 Cal. App. 4th 781, 791–92)

Applying the *Biakanja* factors, Abas fails to allege facts showing that that the alleged failure to oversee or supervise Elzoheiry was intended to affect Abas. As to the second factor, Abas has not alleged facts showing that the harm was foreseeable. Also, "foreseeability of financial injury to third persons alone is not a basis for imposition of liability for negligent conduct." (*Quelimane Co. v. Stewart Title Guar. Co.*(1998) 19 Cal. 4th 26, 58.) Further, the fourth element of closeness between the failure to oversee or supervise Elzoheiry and Abas' conduct does not support the finding of a special relationship.

Accordingly, based on the foregoing, the demurrer to the negligence claim is sustained based on the application of the *Biakanja* factors and that no duty is owed to prevent a third party's criminal behavior.

Thus, the only remaining claim in the Cross-Complaint as to Plaintiffs is for declaratory relief. The declaratory relief cause of action alleges:

> 85. An actual, present, and justiciable controversy has arisen and now exists between Cross-Complainant and Cross-Defendants concerning their respective rights, duties, and obligations with respect to the claims asserted in the underlying action, including: (a) the relative degrees of fault and responsibility of each party; (b) the right of Cross-Complainant to equitable indemnity, contribution, and/or total indemnity; (c) whether Cross-Complainant acted in good faith and within the scope of his limited role; (d) the extent to

		which Plaintiffs' negligent conduct contributed to the harm alleged. (Cross-Complaint, ¶ 85.) The declaratory relief claim seeks to determine relative degrees of fault based on Abas' claims of indemnity, contribution, and negligence. However, those claims have been dismissed as to Plaintiffs. Given that the other claims have been dismissed, there is no basis for declaratory relief as to Plaintiffs. (*Ball v. FleetBoston Financial Corp.* (2008) 164 Cal.App.4th 794, 800 ["Where a trial court has concluded the plaintiff did not state sufficient facts to support a statutory claim and therefore sustained a demurrer as to that claim, a demurrer is also properly sustained as to a claim for declaratory relief which is "wholly derivative" of the statutory claim."].) On demurrer, a court determines whether the complaint states facts sufficient to constitute a cause of action. If the court sustains the demurrer, it must decide whether to grant leave to amend. Leave to amend should be granted if there is a reasonable possibility that the defect can be cured by amendment. Plaintiff has the burden of proving that there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) Abas has not satisfied his burden of proving that there is a reasonable possibility that the defect in the pleading can be cured by amendment. Thus, the demurrer is sustained without leave to amend. Moving party shall give notice of this ruling.
2	Dong vs. Sepulveda	**TENTATIVE RULING:** **<u>Demurrer</u>** For the reasons set forth below, Plaintiff and Cross-Defendants Yanan Dong, Confident Serenity, Inc., and Xian Huang's demurrer to Defendants and Cross-Complainants Brent Sepulveda, Jami Lynn Sepulveda, and Sepulveda Builders, Inc.'s Cross-Complaint is SUSTAINED as to the 4th cause of action for breach of fiduciary duty by Brent Sepulveda and Jami Lynn Spulveda and as to the 8th cause of action for constructive trust, only. The demurrer is OVERRULED as to the 5th, 9th and 11th causes of action, and the unjust enrichment claim in the 8th cause of action. Cross-Complainants are granted 30 days leave to amend.

Statement of Law

A demurrer only tests the sufficiency of the pleadings. (*See Satyadi v. West Contra Costa Healthcare District* (2014) 232 Cal.App.4th 1022, 1028 [in analyzing a demurrer, the court looks only to the face of the pleadings and to matters judicially noticeable and not to the evidence or other extrinsic matters]).

In reviewing the propriety of the sustaining of a demurrer, the "court gives the complaint a reasonable interpretation, and treats the demurrer as admitting all material facts properly pleaded. [Citations.] The court does not, however, assume the truth of contentions, deductions or conclusions of law. [Citation.] The judgment must be affirmed 'if any one of the several grounds of demurrer is well taken. [Citations.]' [Citation.] However, it is error for a trial court to sustain a demurrer when the plaintiff has stated a cause of action under any possible legal theory. [Citation.] And it is an abuse of discretion to sustain a demurrer without leave to amend if the plaintiff shows there is a reasonable possibility any defect identified by the defendant can be cured by amendment." (*Hale v. Sharp Healthcare* (2010) 183 Cal.App.4th 1373, 1379 [citing *Aubry v. Tri–City Hospital Dist*. (1992) 2 Cal.4th 962, 967].). A court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718 fn.7.)

General Allegations

Cross-Complainants allege the following:

In or about 2017-2018, SBI and Dong began doing a number of projects together in which Dong invested capital into purchasing property, SBI would build a luxury home on the property, and then the parties would jointly sell the property and share the profits. (CC, ¶ 10). In April 2019, SBI and Dong entered into an Operating Agreement (the "Kings Road Agreement") for the creation of Kings Road, LLC, the purpose of which was to own and invest in real property located at 1210 Kings Road, Newport Beach, California. (CC, ¶ 11). A copy of the Kings Road Agreement is attached as Exhibit A. Pursuant to the Kings Road Agreement, Dong agreed to provide capital and SBI agreed to provide manpower and services to renovate the Kings Road Property pursuant to plans approved by Dong, consistent with the parties' past practice. In exchange for SBI's work, SBI was to receive a 40% membership interest in the entity that owned the Kings Road Property, Kings Road, LLC. The

		plan was for the parties to promptly sell the property upon completion of the construction as the parties had done on its other deals so that SBI could be compensated for its work from the sale proceeds. (CC, ¶ 11). After three years of work, SBI built a beautiful 6394 square foot luxury ocean view home on the Kings Road Property, and was owed at least $2,595,000 for the construction of the Kings Road Property. (CC, ¶ 14). The property was initially listed for sale at about $12.5 million, at Dong's request. The parties received interest from several potential buyers, who offered to purchase the property at various prices below the asking price. Cross-Complainants and the real estate agents repeatedly recommended lowering the asking price to reflect the market realities. However, Dong unreasonably and without justification refused to do so, causing the home to sit idly on the market for years while SBI continued to incur the costs of maintaining the home. (CC, ¶ 16). In May 2021, Dong's entity Confident Serenity Inc. ("CSI") and SBI entered into a similar Operating Agreement (the "430 Tustin Agreement") for the creation of 430 Tustin, LLC, the purpose of which was to own and invest in real property located at 430 Tustin, Newport Beach, California (the "430 Tustin Property"). (CC, ¶ 20). Dong agreed that SBI was owed at least $1,590,000 for the construction of the 430 Tustin Property. (CC, ¶ 22). The property was initially listed for sale at about $6.4 million, at Dong's request. The parties received interest from several potential buyers, who offered to purchase the property for about $5.8-$5.85 million in the 2023-2025 timeframe. On information and belief, those offers were within the range of fair market value at the time. Cross-Complainants and the agents repeatedly advised Dong to lower the asking price. However, Dong unreasonably and without justification refused to even consider any offers below $6 million, which caused the home to sit on the market for years. (CC, ¶ 24). Ultimately, SBI could no longer afford to continue maintaining the property and refused to continue doing so given Dong's repeated refusal to consider reasonable offers. Dong took over the maintenance and repair responsibilities in fall of 2025 and thereafter locked SBI out of the property of which it is 49% owner. (CC, ¶ 27). Given Dong's actions, SBI had little choice but to obtain funding so that it could continue operating its business. Dong offered to lend SBI money and sent Cross-Complainants a promissory note

		reflecting the loan (the "Note"). A copy of the Note is attached as Exhibit C. The Note dated June 15, 2023, had unreasonable and unconscionable terms such as making the Sepulvedas personally liable at a usurious interest of 1% per month. Dong forced Cross Complainants to take more money than they needed or had requested in order to increase the interest incurred to her benefit. (CC, ¶ 29). In a good faith attempt to resolve the parties' dispute, Cross-Complainants offered to relinquish their interests in both the Kings Road Property and the 430 Tustin Property in exchange for full satisfaction of the Note. Dong agreed to this proposal, and took full possession of both properties. Dong rekeyed the properties, refused to allow Cross-Complainants any access to the properties, and told third parties that she owned both properties outright. However, despite taking possession of the properties, Dong refused to sign any releases or acknowledgements of satisfaction of the Note, even though that was part and parcel of the negotiated deal. (CC, ¶¶ 31-32). Cross-Complainants' counsel wrote Dong with an agreement reflecting the terms of the deal and requesting the deal be finalized and executed. Dong referred the letter to her counsel, who delayed responding for over a month until January 13, 2026. (CC, ¶ 33). While Cross-Complainants were awaiting Dong's response to finalization of the agreed-upon deal, Cross-Complainants became aware through other means that Dong secretly had the 430 Tustin Property under escrow and had expressly instructed the real estate agents not to publicize it or make it known to Cross-Complainants (who were still 49% owner and had every right to know about the sale). (CC, ¶ 34). Counsel wrote Dong's counsel, who represented that the property was in escrow but there was no specified date for close of escrow, yet escrow closed the very next day on January 14 at approximately $5.75 million. (CC, ¶ 35). Then, on January 26, 2026, Dong claimed that because of the 8% preferred return incurred in the years the 430 Tustin Property remained unsold (due to her unjustified refusal to lower the asking price), she was entitled to a preferred return of $1,314,862.93 plus return of $3,458,468.54 in alleged capital contributions, leaving only $696,560.96 in net profits. Dong unreasonably offered SBI only $341,314.87 from the net sale proceeds, despite this being far less than SBI's out-of-pocket costs and time/labor invested and the fair market value of SBI's work, and despite previously agreeing that SBI was due at least $1,590,000 for its work on the 430 Tustin Property. (CC, ¶ 36). Cross-Complainants are informed and believe that Cross-Defendants have continued to receive offers on the Kings Road Property of $9.5

		million or more and are continuing to unreasonably reject offers so they can purport to claim even more in 8% preferred returns. (CC, ¶ 38). **<u>Standing</u>** First, Cross-Defendants demurrer to the 4th cause of action for breach of fiduciary duty, 5th cause of action for fraud, 8th cause of action for unjust enrichment and imposition of a constructive trust, 9th cause of action for accounting and 11th cause of action for quantum meruit by Cross-Complainants Brent Sepulveda and Jami Lynn Sepulveda on the basis that they do not have standing, because there is no allegation that any compensation is owed to them as individuals, and neither Brent nor Jami is a member of either LLC. Code Civ. Proc. § 430.10, subds. (b) and (d), provide that a party against whom a cross-complaint has been filed may demurrer to the pleading on any one or more of the following grounds: the person who filed the pleading does not have the legal capacity to sue, and there is a defect or misjoinder of parties. "[A]s a general matter, to have standing to pursue a claim for damages in the courts of California, a plaintiff must be beneficially interested in the claims he is pursuing." (*Limon v. Circle K Stores Inc.* (2022) 84 Cal.App.5th 671, 700). In *PacLink Communications Intern., Inc. v. Superior Court* (2001) 90 Cal.App.4th 958, the court held: "In this case, the essence of plaintiffs' claim is that the assets of PacLink–1 were fraudulently transferred without any compensation being paid to the LLC. This constitutes an injury to the company itself. Because members of the LLC hold no direct ownership interest in the company's assets (Corp.Code, § 17300), the members cannot be directly injured when the company is improperly deprived of those assets. The injury was essentially a diminution in the value of their membership interest in the LLC occasioned by the loss of the company's assets. Consequently, any injury to plaintiffs was incidental to the injury suffered by PacLink–1." (*Id.* at 964 [footnote removed]). Cross-Defendants contend that the fiduciary duties owed under the Revised Uniform Limited Liability Act (the "Act") extend only to the other members of each LLC and Brent and Jami were not members of either limited liability company (citing to Corp. Code §17704.09). Defendants also contend that there is no basis for imposition of any affirmative duty.

		In their Opposition, Cross-Complainants refer to Ex. A, the Kings Road Operating Agreement, which contains a Guaranty by both Jami Lynn Sepulveda and Brent Sepulveda, wherein they guaranteed the prompt payment of all guaranteed obligations to Yanan Dong, among other representations. (CC, Ex. A). Cross-Complainants also note that the Promissory Note to pay Yanwen Dong, the lender, was signed and is binding on both Jami Lynn and Brent Sepulveda. (CC, Ex. C). In support of their cause of action for breach of fiduciary duty, Cross-Complainants allege that SBI and CSI are parties to the 430 Tustin Agreement. SBI and Dong are parties to the Kings Road Agreement. As the Manager and majority member of 430 Tustin, LLC and Kings Road, LLC, CSI and Dong, respectively, owed SBI and its principals (the Sepulvedas) a fiduciary duty of loyalty and disclosure. (CC, ¶ 55). They allege that CSI and Dong breached their fiduciary duties by, among other things, acting in their own personal best interests and not in the best interests of 430 Tustin, LLC or Kings Road, LLC or its members. For example, they repeatedly unreasonably rejected good offers for both the Kings Road Property and the 430 Tustin Property that were reflective of market value and would have provided a good return for the shared entities, in favor of collecting an 8% preferred return for their own personal benefit, to SBI and the entities' detriment. (CC, ¶ 56). Cross-Complainants have not adequately explained why signing the Promissory Note or entering into the Guaranty gives them standing as to this cause of action as nonmembers of either of the LLCs. The elements for a cause of action for breach of fiduciary duty are: (i) Existence of a fiduciary duty; (ii) Breach of the fiduciary duty; and (iii) Damage proximately caused by the breach. (*Pierce v. Lyman* (1991) 1 Cal.App.4th 1093, 1101 [emphasis added]). "The allegation of a fiduciary relationship must be supported by either a contract, or a relationship that imposes it as a matter of law." (*Berryman v. Merit Property Management, Inc.* (2007) 152 Cal.App.4th 1544, 1558). Cross-Complainants allege that the fiduciary duty owed by Cross-Defendants arises from their status as Manager and majority member of 430 Tustin, LLC and Kings Road, LLC. While they argue that they "have a beneficial interest in those claims given the individual guaranty to the Kings Road Agreement and the offsets owed under the Note" (Opp., 15:14-16), more is required for a breach of fiduciary duty claim. They must assert the existence of a fiduciary duty, and they have not provided any facts which demonstrate that they are owed a fiduciary duty arising out of the membership of the LLCs. Accordingly, the court SUSTAINS the demurrer to this cause of action as to Brent and Jami Lynn Sepulveda.

However, the court finds that Cross-Complainants have adequately alleged standing for the remaining claims.

With regards to the fifth cause of action for fraud, they allege that "Dong (on behalf of CSI and herself personally) and Huang repeatedly represented both orally and in emails and text messages to the Sepulvedas that the Sepulvedas/SBI would be fairly compensated for their construction work and would receive their agreed-upon share of the profits from any sale of the Kings Road Property and the 430 Tustin Property" and that they relied on these representations and forewent other lucrative projects in order to work on these two projects in reliance on CSI, Dong, and Huang's representations. (CC, ¶¶ 59-62).

Because the Sepulvedas alleged that they relied on the representations, and signed the guaranty in their own capacity for the Kings Road agreement, the court finds that they have alleged standing as to the fraud cause of action.

With regards to the cause of action for unjust enrichment and imposition of a constructive trust, Cross-Complainants allege that "CSI, Dong, and Huang have been unjustly enriched at the expense of Cross-Complainants in the form of monies and other assets wrongfully obtained by CSI, Dong, and Huang." (CC, ¶ 77). They allege that they are entitled to an order: (a) requiring CSI, Dong, and Huang, inclusive, to disgorge all funds or monies that they have and/or will otherwise unjustly obtain; and (b) imposing a constructive trust on all such funds. (CC, ¶ 79).

With regards to the cause of action for accounting, Cross-Complainants allege that they "are entitled to an accounting of all revenues, expenses, profits, and other matters related to the business of Kings Road, LLC and 430 Tustin, LLC and/or related to the Kings Road Property and the 430 Tustin Property, including an accounting of all funds or other assets obtained by CSI, Dong, and Huang, or any of them, from the sale thereof." (CC, ¶ 81). With regards to quantum meruit, Cross-Complainants allege that the reasonable value of the goods services rendered to Cross-Defendants is in an amount of at least $6.8 million for the Kings Road Property and at least $5.5 million for the 430 Tustin Property. (CC, ¶ 88).

The elements of an unjust enrichment claim are the "receipt of a benefit and [the] unjust retention of the benefit at the expense of another." (*Lectrodryer v. SoeulBank* (2000) 77 Cal.App.4th 723, 726). "A cause of action for an accounting requires a showing that a

		relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting." (*Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179 [citations].) Cross-Complainants rely on their allegations that that they signed the Promissory Note (Ex. C to CC) under economic duress caused by Cross-Defendants' breaches of the Kings Road Agreement (that Cross-Complainants Brent and Jami Lynn guaranteed) and the 430 Tustin Agreement (CC, ¶¶ 28-33.); and contend that any amounts owed under the Note (if any) should be offset by the damages that Cross-Defendants caused by their breaches of the Kings Road Agreement and the 430 Tustin Agreement. (CC, ¶¶ 28-33.) The court notes that Cross-Complainants never alleged that the Promissory Note should be offset by Cross-Defendants' breach. Nevertheless, any determination by this court as to how much SBI is owed will likely involve Brent and Jami Lynn's obligations under the Guaranty to the Kings Road Agreement, as well as their obligations under the Promissory Note. This demonstrates that Brent and Jami Lynn Sepulveda are beneficially interested in the claims they are pursuing. (*Limo, supra,* 84 Cal.App.5th at 700). Accordingly, the court OVERRULES the demurrer as to these causes of action by Brent and Jami Lynn Sepulveda. **<u>Fraud</u>** Next, Cross-Defendants contend that the fraud cause of action fails to state a cause of action because it is barred by the economic loss rule, and also because the promise of "fair compensation" is too vague to be actionable. The essential allegations for a fraud claim include "(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (*Engalla v. Permanente Medical Group, Inc*. (1997) 15 Cal.4th 951, 974.). Every element of the cause of action for fraud must be alleged factually and specifically since the policy of liberal construction of pleadings will not ordinarily be invoked to sustain a defective pleading of fraud. (*Hall v. Department* of Adoptions (1975) 47 Cal.App.3d 898, 904).

		The economic loss rule "precludes recovery for purely economic loss due to disappointed expectations, unless the plaintiff can demonstrate harm above and beyond a broken contractual promise. Conduct amounting to a breach of contract becomes tortious only when it also violates a duty independent of the contract arising from principles of tort law." (*Robinson Helicopter Co. v. Dana Corp.* (2004) 34 Cal.4th 979, 988-989). However, the economic loss rule does not apply to fraudulent inducement to enter into a contract. As our Supreme Court held in *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988: "Robinson contends the Court of Appeal erred in its decision because the economic loss rule does not bar its fraud and intentional misrepresentation claims. We conclude that, with respect to Dana's provision of false certificates of conformance, Robinson is correct." See also *Rattagan v. Uber Techs., Inc*. (2024) 17 Cal.5th 1, 38: "The doctrine only applies to bar tort recovery for negligently inflicted economic losses … ." With regards to the contention that the promise of "fair compensation" is too vague to be actionable, Cross-Defendants cite to *Ladas vs. California State Automobile Association* (1993) 19 Cal.App.4th 761, 771, wherein the court held that "promises … to pay 'parity' or 'according to industry standards' are not sufficiently definite to be enforceable." However, Cross-Complainants do not solely base their cause of action on this promise. Cross-Complainants also allege that Cross-Defendants represented that Cross-Complainants would receive their agreed-upon share of the profits from any sale of the Kings Road Property and the 430 Tustin Property. (CC, ¶ 59). Cross-Defendants failed to address whether this promise is actionable in their demurrer. Accordingly, the court OVERRULES the demurrer to this cause of action. **<u>Unjust Enrichment and Imposition of Constructive Trust</u>** Finally, Cross-Defendant contends that the 8^{th} cause of action for unjust enrichment and imposition of constructive trust fails because unjust enrichment cannot apply where the parties have an express contract, and because Cross-Complainants have not plead specific or identifiable property that would constitute the "res" for the trust. In support of this cause of action, Cross-Complainants allege that CSI, Dong, and Huang have been unjustly enriched at the expense of

		Cross-Complainants in the form of monies and other assets wrongfully obtained by CSI, Dong, and Huang. (CC, ¶ 77); that Cross-Complainants are entitled to an order: (a) requiring CSI, Dong, and Huang, inclusive, to disgorge all funds or monies that they have and/or will otherwise unjustly obtain; and (b) imposing a constructive trust on all such funds (CC, ¶ 78); and that a constructive trust should be imposed in equity upon all proceeds, ownership, monies, and assets of CSI, Dong, and Huang, inclusive, insofar as Claimants are proven to be damaged, in the interests of justice. (CC, ¶ 79). As previously stated, the elements of an unjust enrichment claim are the "receipt of a benefit and [the] unjust retention of the benefit at the expense of another." (*Lectrodryer v. SoeulBank* (2000) 77 Cal.App.4th 723, 726). Both parties rely on *Sepanossian v. National Ready Mixed Concrete Co.* (2023) 97 Cal.App.5th 192, 207 wherein the court held: > Unjust enrichment is generally an inapplicable basis for restitution where the parties have an enforceable express contract; however, "restitution may be awarded in lieu of breach of contract damages when the parties had an express contract, but it was procured by fraud or is unenforceable or ineffective for some reason," or "where the defendant obtained a benefit from the plaintiff by fraud, duress, conversion, or similar conduct." [internal citation omitted] > … > Thus, Sepanossian's "unjust enrichment" claim "does not properly state a cause of action." (*Levine v. Blue Shield of California* (2010) 189 Cal.App.4th 1117, 1138, 117 Cal.Rptr.3d 262.) Because Sepanossian does not dispute there were express form contracts in this case, he cannot assert a quasi-contract claim for restitution based on unjust enrichment. "Although a plaintiff may plead inconsistent claims that allege both the existence of an enforceable agreement and the absence of an enforceable agreement, that is not what occurred here. Instead, [Sepanossian's] breach of contract claim pleaded the existence of ... enforceable agreement[s] and [his] unjust enrichment claim did not deny the existence or enforceability of [those] agreement[s]. [Sepanossian is] therefore precluded from asserting a quasi-contract claim under the theory of unjust enrichment." [internal citation omitted]

Cross-Defendants contend that Cross-Complainants cannot state a cause of action for unjust enrichment because there was an express contract regarding payment to SBI. However, as Cross-Complainants point out, they allege that they were fraudulently induced into entering the agreements. (CC, ¶¶ 59-63). Furthermore, with regards to the promissory note, Cross-Complainants allege that it had unreasonable and unconscionable terms, and Cross-Complainants had “little to no choice” but to sign it, and that Cross-Complainant Dong forced Cross Complainants to take more money than they needed or had requested in order to increase the interest incurred to her benefit. (CC, ¶ 29). The court finds this sufficient at the pleading stage.

With regards to constructive trust, three conditions must be shown to impose a constructive trust: (1) a specific identifiable property interest, (2) the plaintiff’s right to the property interest, and (3) the defendant’s acquisition of the property interest by some wrongful act. (*Calistoga Civic Club v. City of Calistoga* (1983) 143 Cal.App.3d 111, 116). All that must be shown is that the acquisition of the property was wrongful and that the keeping of the property by the defendant would constitute unjust enrichment. (*Id.*).

Cross-Defendants cite to *Deane v. Superior Court* (1985) 164 Cal.App.3d 292, wherein the court held that a constructive trust may not be imposed to secure an ordinary business debt. (But see *Korea Supply Co. v. Lockheed Martin Corp*. (2003) 29 Cal.4th 1134, 1150 [“a constructive trust requires ‘money or property identified as belonging in good conscience to the plaintiff [which can] clearly be traced to particular funds or property in the defendant's possession.” [citation]]).

In their Opposition, Cross-Complainants contend that their claim is for any money generated from sale of the Kings Road and 430 Tustin properties, as well as specific monies paid under the Note. Cross-Complainants alleged the specific amounts of these sums. (See CC, ¶¶ 30, 35 [“Cross Complainants made payments on the Promissory Note totaling at least $941,450” and property sold for “approximately $5.75 million”]).

However, the cause of action for constructive trust does not seek these specific sums. Rather, Cross-Complainants allege that they are entitled to an order requiring CSI, Dong, and Huang to disgorge “all funds or monies that they have and/or will otherwise unjustly obtain”, and to impose “a constructive trust on all such funds.” (CC, ¶ 78).

Accordingly, Cross-Complainants failed to state a claim for constructive trust.

Motion to Strike

For the reasons set forth below, Plaintiff and Cross-Defendants' motion to strike is GRANTED as to the following, only:

1. The words "alter egos" at ¶8, line 26, of the cross-complaint;
2. The allegation at ¶14, lines 18 – 19 (which states that, "Dong agreed that SBI was owed at least $2,595,000 for the construction of the Kings Road Property");
3. The allegation at ¶14, lines 22 – 23 (which states that "SBI was also entitled to a reasonable construction management /general contractor fee in addition to its hard costs");
4. The allegations in paragraph 22, lines 1 - 2 of the cross-complaint (which states that "Dong agreed that SBI was owed at least $1,590,000 for the construction of the 430 Tustin Property");
5. The allegation at ¶22, lines 5 – 7 (which states that "[i]n a typical project of this size, SBI also would have been entitled to a construction management /general contractor fee"); and
6. Paragraph 78 in its entirety.

The motion is DENIED as to the remainder.

Cross-Complainants are granted 30 days leave to amend.

Statement of Law

Code Civ. Proc. § 436 provides that a court "may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strikeout any irrelevant, false, or improper matter inserted in any pleading.
(b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court."

"While under section 436, a court at any time may, in its discretion, strike portions of a complaint that are irrelevant, improper, or not drawn in conformity with the law, matter that is essential to a cause of action should not be struck and it is error to do so." (*Quiroz v. Seventh Ave. Center* (2006) 140 Cal.App.4th 1256, 1281.)

		With regards to motions to strike, courts "have no intention of creating a procedural 'line item veto' for the civil defendant." (*PH II, Inc. v. Superior Court (lbershof*) (1995) 33 Cal.App.4th 1680, 1683). "Pleading in the language of the statute is not objectionable when sufficient facts are alleged to support the allegation." (*Perkins v. Sup. Ct.* (1981) 117 Cal. App. 3d 1, 6-7.) **<u>Alter Ego Allegations</u>** First, Cross-Defendants move to strike the words "alter egos" at ¶8, line 26 on the basis that Cross-Complainants have not sufficiently alleged alter ego allegations against Cross-Defendants. This paragraph reads: > Cross-Defendants at all times mentioned herein were the agents, servants, employees, partners, members, shareholders, officers, directors, joint venturers, and alter egos of each other, and in doing or failing to do the things hereinafter mentioned were acting within the purpose and scope of their agency and employment and with the knowledge and consent of each other. As used herein the term "Cross-Defendants" means all Cross-Defendants, both jointly and severally, and references by name to any named Cross-Defendants shall include all Cross Defendants, both jointly and severally. (CC, ¶ 8). With regards to alter ego liability, "two conditions must be met before the alter ego doctrine will be invoked. First, there must be such a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist. Second, there must be an inequitable result if the acts in question are treated as those of the corporation alone.' [Citations.]" (*Hasso v. Hapke* (2014) 227 Cal.App.4th 107, 155.) "Whether a party is liable under an alter ego theory is normally a question of fact. [Citations.] 'The conditions under which the corporate entity may be disregarded, or the corporation be regarded as the alter ego of the stockholders, necessarily vary according to the circumstances in each case inasmuch as the doctrine is essentially an equitable one and for that reason is particularly within the province of the trial court.' [Citation.]" (*Zoran Corp. v. Chen* (2010) 185 Cal.App.4th 799, 811 [setting forth a multitude of factors to be considered].)

Cross-Complainants do not allege the basis for their alter ego allegations in the Cross-Complaint, and argue in their Opposition that they are not pleading alter ego as to Cross-Defendants. Cross-Complainants contend that they are pleading alter ego as to the Roe Cross-Defendants, only. However, this is incorrect. Paragraph 8 of the Cross-Complaint specifically refers to all Cross-Defendants, including the moving parties. Accordingly, the court strikes "alter egos".

"Past Practices" Allegations

Next, Cross-Defendants contend that the allegation of conduct "consistent with the parties past practice" at ¶11, lines 24 – 25 should be stricken as there is no allegation reciting what the alleged "past practices" were.

The complete paragraph states:

> In April 2019, SBI and Dong entered into an Operating Agreement (the "Kings Road Agreement") for the creation of Kings Road, LLC, the purpose of which was to own and invest in real property located at 1210 Kings Road, Newport Beach, California (the "Kings Road Property"). A copy of the Kings Road Agreement is attached as Exhibit A. Pursuant to the Kings Road Agreement, Dong agreed to provide capital and SBI agreed to provide manpower and services to renovate the Kings Road Property pursuant to plans approved by Dong, consistent with the parties' past practice. In exchange for SBI's work, SBI was to receive a 40% membership interest in the entity that owned the Kings Road Property, Kings Road, LLC. The plan was for the parties to promptly sell the property upon completion of the construction as the parties had done on its other deals so that SBI could be compensated for its work from the sale proceeds.

(CC, ¶ 11).

The court finds that there is nothing irrelevant, false or improper about this allegation. Cross-Complainants allege in another paragraph that "in these past deals, upon completion of construction, the parties would sell the properties within months of completing construction, SBI would submit its hard costs relating to the construction, then sale proceeds would be used first to reimburse Dong's capital contribution and SBI's costs, and then the parties would split remaining profits based upon an agreed-upon split. In total, SBI and Dong did three

		such homes together successfully in this manner…" (CC, ¶ 10). This allegation is relevant to establish the background between the parties' relationships. **<u>Paragraphs 14 and 22</u>** Paragraphs 14 and 22 of the Cross-Complaint allege the following: > Dong agreed that SBI was owed at least $2,595,000 for the construction of the Kings Road Property. This included significant out-of-pocket expenses in hard costs incurred by SBI consisting of, among other things, development costs of nearly $100,000 (including for development plans, soil surveys, and permitting) and hard construction costs of approximately nearly $1 million (including for materials, subcontractors, and labor). SBI was also entitled to a reasonable construction management/general contractor fee in addition to its hard costs. On information and belief, the fair market value of the construction work SBI performed in connection with the building of the Kings Road Property from the ground up exceeds $6.8 million. (CC, ¶ 14). > Dong agreed that SBI was owed at least $1,590,000 for the construction of the 430 Tustin Property. This included significant out-of-pocket expenses in hard costs that SBI incurred consisting of, among other things, development and underground utility costs of nearly $140,000 (including for development plans, soil surveys, and permitting) and hard construction costs of approximately $700,000 (including for materials, subcontractors, and labor). In a typical project of this size, SBI also would have been entitled to a construction management/general contractor fee. On information and belief, the market value of the construction work SBI performed in connection with the building of the 430 Tustin Property from the ground up exceeds $5.5 million. (CC, ¶ 22). Cross-Defendants move to strike the following from these paragraphs: "Dong agreed that SBI was owed at least $2,595,000 for the construction of the Kings Road Property", "SBI was also entitled to a reasonable construction management /general contractor fee in addition to its hard costs", "Dong agreed that SBI was owed at least $1,590,000 for the construction of the 430 Tustin Property", and "[i]n

a typical project of this size, SBI also would have been entitled to a construction management /general contractor fee."

Cross-Defendants contend that the right to the payments demanded in paragraphs 14 and 22 of the cross-complaint is not contained in the Operating Agreement for either development project (which are incorporated by reference as Exhibits A and B to the Cross-Complaint).

In their Opposition, Cross-Complainants concede that these numbers did not arise from the agreements, but were based on past deals. Cross-Complainants contend that "[t]he $2,590,000 and $1,590,000 figures were cited as examples of what payment consistent with the past practices would have generated for Cross-Complainants for Kings Road and 430 Tustin, because Dong herself indicated that Cross-Complainants would have been owed that much per the compensation system used on past deals." (Opp., 14:22-25).

However, the Cross-Complaint does not provide that this amount as allegedly stated by Plaintiff/Cross-Defendant Dong was based on past deals. Cross-Complainants go on to state in their Opposition that they can amend the Cross-Complaint to specify that these amounts were reflected in text messages between the parties. The court grants the motion as to these allegations so that Cross-Complainants may add these allegations.

Unjust Enrichment and Constructive Trust Allegations

Finally, Cross-Defendants contend that the following paragraphs should be stricken in their entirety, because Cross-Complainant's cause of action for unjust enrichment and constructive trust fails:

"Cross-Complainants are informed and believe, and based thereon allege, that, as a result of the conduct described above, CSI, Dong, and Huang have been unjustly enriched at the expense of Cross-Complainants in the form of monies and other assets wrongfully obtained by CSI, Dong, and Huang." (CC, ¶ 77).

"Cross-Complainants are informed and believe, and based thereon allege, that, as a direct and proximate result of the foregoing conduct, Cross-Complainants are entitled to an order: (a) requiring CSI, Dong, and Huang, inclusive, to disgorge all funds or monies that they have and/or will otherwise unjustly obtain; and (b) imposing a constructive trust on all such funds." (CC, ¶ 78).

		The arguments regarding Cross-Complainant's claims for unjust enrichment and constructive trust have been addressed in the demurrer. Cross-Complainants have adequately stated a claim for unjust enrichment, but have not stated a claim for imposition of a constructive trust. Accordingly, the court grants the motion as to paragraph 78, only. Should Cross-Complainants wish to file an amended cross-complaint that addresses the issues in this ruling, Plaintiff must file and serve it within 30 days of service of notice of ruling. Cross-Defendants shall give notice of both rulings.
3	Jahanmir vs. Mercedes Benz USA, LLC	**TENTATIVE RULING:** For the reasons set forth below, Defendant Mercedes-Benz USA, LLC (MBUSA)'s motion to compel Plaintiff Kamran Jahanmir to binding arbitration and stay action is GRANTED. The court DENIES Defendant's request for judicial notice, as it was presented for the first time in the Reply. (*Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1538). **<u>Statement of Law</u>** A court shall order arbitration if it determines an agreement to arbitrate exists, unless the moving party waived arbitration, grounds exist for revocation of the agreement, or a party to the agreement is also a party to a pending action involving the same transaction with a third party and there is a possibility of conflicting rulings on a common issue of law or fact. (Code Civ. Proc., § 1281.2.) If the court orders arbitration, it shall, upon motion of either party, stay the action or proceeding until the completion of the arbitration, or until such earlier time as the court specifies. (Code Civ. Proc., § 1281.4; *Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 620.) There is a strong public policy favoring arbitration, and any doubts regarding arbitrability are resolved in favor of arbitration, "unless it can be said with assurance that an arbitration clause is not susceptible to an interpretation covering the asserted dispute." (*Rice v. Downs* (2016) 248 Cal.App.4th 175, 185.) However, ordinary principles of contract interpretation apply, meaning the court must determine whether the parties agreed to arbitrate the claims at issue, the scope of the arbitration clause, and the terms of the arbitration clause. (*Id.*) In determining the applicability of an arbitration agreement, the court should attempt to give effect to the parties' intentions, considering

		the agreement as a whole, and in light of the usual and ordinary meaning of the language of the agreement. (*Id*. at pp. 185-186.) The petitioner bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, while a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense, such as unconscionability. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.) The trial court sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination. (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.). **Federal Arbitration Act** The arbitration provision provides: This lease evidences a transaction involving interstate commerce. Any arbitration under this lease shall be governed by the Federal Arbitration Act (9 USC 1, et seq). (Decl. of Newman, Ex. C.) The arbitration provision in the Warranty also provides that arbitration will be governed by the FAA. (Decl. of Newman, Ex. B). See also *Rodriguez v. Am. Technologies, Inc*. (2006) 136 Cal.App.4th 1110, 1122: "Thus, there is no ambiguity regarding the parties' intent. They adopted the FAA—all of it—to govern their arbitration. The FAA controls …" Accordingly, the court finds that the FAA applies. **Existence of a Valid Agreement** A party moving to compel arbitration bears an initial burden of producing "prima facie evidence of a written agreement to arbitrate the controversy." (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165–166.) The moving party "can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature." (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541.) Alternatively, the moving party can meet its burden by setting forth the agreement's provisions in the motion. (*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219; see also Cal. Rules of Court, rule 3.1330 ["The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by

		reference."].) For this step, "it is not necessary to follow the normal procedures of document authentication." (*Condee, supra,* at 218.) If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion. If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. (See *Gamboa, supra,* 72 Cal.App.5th at 165–166.) In support of Defendant's motion, Defendant presents the declaration of counsel, Daniell Newman, who presents two arbitration agreements: one found in the Warranty, and in the Lease Agreement that was signed by Plaintiff. The Warranty provides the following: "Individual Arbitration Agreement and Class Waiver… .. This agreement requires arbitration of any disputes between you and MBUSA (together the "Parties") including, without limitation, claims and disputes related to or arising out of your vehicle purchase, use, or ownership except those soley for personal-injury claims….These include, without limitation, disputes arising out of your warranty, and claims arising before or after you signed this Agreement…" (Decl. of Newman, Ex. B). The Motor Vehicle Lease Agreement (the "Agreement") provides, in part: "Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents , successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a "Third-Party Beneficiary"), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third-Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action." (Decl. of Newman, Ex. C.) The Agreement was electronically signed by Plaintiff.

		Plaintiff does not contest signing the Agreement. However, the Agreement provides that it is between Plaintiff, as Lessee, and the Lessor or "Mercedes-Benz Vehicle Trust." Defendant MBUSA contends that it may still enforce the Agreement as a third-party beneficiary. **<u>Third-Party Beneficiary</u>** "Under certain circumstances, a nonsignatory to an arbitration agreement may seek to enforce it against a signatory. Whether such enforcement is permissible is a question of state law." (*Ford Motor Warranty Cases* (2023) 89 Cal.App.5th 1324, 1332 ("*Ochoa*") [citing *Kramer v. Toyota Motor Corp.* (9th Cir. 2013) 705 F.3d 1122, 1128; *Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 614, fn. 7].) State law provides six theories by which a nonsignatory may compel or be bound to arbitrate. These theories include: " '(a) incorporation by reference; (b) assumption; (c) agency; (d) veil-piercing or alter ego; (e) estoppel; and (f) third-party beneficiary' [citations]." (*Suh v. Superior Court* (2010) 181 Cal.App.4th 1504, 1513). When considering whether a third party may bring a breach of contract claim, courts determine "not only (1) whether the third party would in fact benefit from the contract, but also (2) whether a motivating purpose of the contracting parties was to provide a benefit to the third party, and (3) whether permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties. All three elements must be satisfied to permit the third party action to go forward." (*Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817, 829-830). As previously stated, the Agreement provides in part, that "Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a 'Third Party Beneficiary')…". (Ex. C). Plaintiff contends that his claims against Defendant do not arise from this lease agreement, that Defendant does not directly benefit from the lease agreement between Plaintiff and the dealership, that the motivating purpose of any lease agreement between Plaintiff and the dealership was not to benefit Defendant, and that the Agreement

		could not have been within the expectations of the contracting parties. Plaintiff asks this court to follow *Ford Motor Warranty Cases* (April 4, 2023) 89 Cal.App.5th 1324 (*Ochoa*) in support of Plaintiff's contentions that Plaintiff's claims "have nothing to do with the Lease Agreement." In *Ochoa,* the court found that FMC was not a third-party beneficiary where FMC was not named in the sale contracts, and where FMC did not satisfy the *Goonewardene* requirements. As the court held: > Its direct benefits are expressly limited to those persons who might rely on it to avoid proceeding in court—the purchaser, the dealer, and the dealer's employees, agents, successors or assigns. FMC is none of these. > [¶] > Second, there is no indication that a benefit to FMC was the signatories' "motivating purpose"… > [¶] > … > Finally, allowing FMC to enforce the arbitration provision as a third party beneficiary would be inconsistent with the "reasonable expectations of the contracting parties > (*Id.* at 1339-40). Notably, the court held: "Any interest FMC may have in where its dealers and consumers choose to resolve their disputes is remote and certainly not articulated in FMC's briefing. If the signatories had intended to benefit FMC, such a purpose would have been easy to articulate. They could have simply named FMC—directly or by class as the vehicle's manufacturer—as a person entitled to compel arbitration." (*Id.* at 1339). With regards to Plaintiff's reliance on *Ochoa* in support of Plaintiff's arguments that his claims have nothing to do with the Lease, this is an argument regarding equitable estoppel-which is a separate theory from third-party beneficiary. "[T]he equitable estoppel doctrine applies when a party has signed an agreement to arbitrate but attempts to avoid arbitration by suing nonsignatory defendants for claims that are 'based on the same facts and are inherently inseparable' from arbitrable claims against signatory defendants." (*Metalclad Corp. v. Ventana Environmental Organizational Partnership* (2003) 109 Cal.App.4th 1705, 1713 [internal citations and quotations omitted]). "Courts applying

		equitable estoppel against a signatory have ' "looked to the relationships of persons, wrongs and issues, in particular whether the claims that the nonsignatory sought to arbitrate were ' " 'intimately founded in and intertwined with the underlying contract obligations.' " ' " (*Id.* [internal citations omitted]). However, the three-part, third-party beneficiary analysis set forth in *Goonewardene, supra,* does not consider whether the Plaintiff's claims are necessarily intertwined with the sales contract. With regards to Defendant's argument that it is expressly named in the contract as a third-party beneficiary, the court applies the analysis in *Goonewardene*. With regards to the first two elements, whether the third party would in fact benefit from the contract, and whether a motivating purpose of the contracting parties was to provide a benefit to the third party, Defendant cites to *Ford Motor Warranty Cases* (2023) 89 Cal.App.5th 1324 where, again, the court noted that "[i]f the signatories had intended to benefit FMC, such a purpose would have been easy to articulate. They could have simply named FMC—directly or by class as the vehicle's manufacturer—as a person entitled to compel arbitration. But they did not." (*Id.* at 1339). Defendant contends that as Mercedes-Benz is explicitly named and recognized as a "Third-Party Beneficiary" in the Lease Agreement entitled to enforce arbitration, MBUSA would in fact benefit from the Lease Agreement. Similarly, that MBUSA was expressly named in the arbitration provision shows that the contracting parties purposefully provided that benefit to MBUSA, satisfying the second *Goonewardene* factor. Regarding the third element-whether permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties- the expectations are consistent with Defendant's position, where, as here, the Agreement specifically states that MBUSA is covered by the Agreement. Accordingly, the court finds that MBUSA may enforce the arbitration provision as one of the entities explicitly named in the Agreement. **<u>Plaintiff's Claims</u>** Plaintiff asserts claims for violation of: Civ. Code § 1793.2 (d), Civ. Code § 1793.2 (b), Civ. Code § 1793.2 (A)(3), and breach of the

		implied warranty of merchantability. Plaintiff's claims arise out of the warranty and implied warranty. The court finds that Plaintiff's claims against MBUSA entirely arise out of and relate to the warranty for the Vehicle, and the relationship between the parties as lessee and warrantor. **Contract of Adhesion** Finally, Plaintiff contends that the arbitration provision in the Agreement is a contract of adhesion. However, Plaintiff provides no evidence in support of this assertion. Furthermore, the fact of an adhesion contract alone does not render the arbitration clause unenforceable. Procedural and substantive unconscionability "must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability." (*Armendariz v. Foundation Health Psychcare Servs., Inc.* (2000) 24 Cal.4th 83, 114). Therefore, the motion is GRANTED. The court will STAY this action pending resolution of the parties' arbitration. (*See* Code Civ. Proc., § 1281.2.) The court sets an ADR Review Hearing for March 2, 2026, at 9:00 a.m. in this Department. Defendant MBUSA shall give notice.
4	Anderson vs. Tan	**OFF CALENDAR**
5	Cemex Construction Materials Pacific, LLC vs. Gunner Concrete, Inc.	**TENTATIVE RULING:** **Motion to Continue Judgment Debtor Examination** Judgment Debtor Gunner Concrete, Inc. moves to continue the judgment debtor examination set for June 26, 2026. For the following reasons, the motion is DENIED. First, the motion is moot. Gunner Concrete, Inc. moves to continue the judgment debtor examination that was set for June 26, 2026, to July or August 2026. However, that date has passed, and the motion is thus moot. Further, the motion is not supported by a properly executed declaration because the declaration attached to the motion is not

		dated. (Code Civ. Proc. § 2015.5 [requiring that a declaration state the date of execution to be valid].) Here, the declaration of Geneva Milne states, "Executed this DAY day of MONTH, 2026." (ROA 442.) The Court Clerk shall give notice of this ruling.
6	Fine Consulting Services, Inc. vs. Alvarez	**TENTATIVE RULING:** For the reasons set forth below, Plaintiff Fine Consulting Services, Inc.'s ("FCS") motion for sanctions against Defendant Search Fund Accelerator, LLC ("SFA"), under Code of Civil Procedure section 128.7 is DENIED. Plaintiff argues that Defendant SFA's motion to disqualify counsel Katie Charleston as trial counsel under the advocate-witness doctrine lacked evidentiary support, was not warranted by existing law or any good faith argument, and was presented for an improper purpose, including to harass, cause delay, increase litigation costs, and gain tactical advantage following mistrial. **Motion for Sanctions Under Section 128.7** Code of Civil Procedure section 128.7 authorizes a court to impose sanctions on a party or attorney that presents a pleading, petition, motion, or other similar papers in the following circumstances: 1) the document is presented primarily for an improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation. 2) the claims, defenses, and other legal contentions therein are not warranted by existing law or by a nonfrivolous argument for the extension, modification, or reversal of existing law or the establishment of new law. 3) the allegations and other factual contentions have no evidentiary support. 4) the denials of factual contentions are not warranted on the evidence. Code of Civil Procedure section 128.7 permits the Court to impose monetary sanctions on an attorney or an unrepresented party that violates any one of these requirements. (*Eichenbaum v. Alon* (2003) 106 Cal App 4th 967, 976.) In addition, section 128.7 does not require a finding of subjective bad faith; instead, it requires only that the Court

		find that the conduct be objectively unreasonable. (*In re Marriage of Reese & Guy* (1999) 73 Cal. App. 4th 1214, 1221.) Under section 128.7, a court *may* impose sanctions if it concludes a pleading was filed for an improper purpose or was indisputably without merit, either legally or factually. (*Bucur v. Ahmad* (2016) 244 Cal.App.4th 175, 189-190.) A claim is factually frivolous if it is "not well grounded in fact" and is legally frivolous if it is "not warranted by existing law or a good faith argument for the extension, modification, or reversal of existing law." (*Ibid*.) In either case, to obtain sanctions, the moving party must show the party's conduct in asserting the claim was objectively unreasonable. (*Ibid*.) A claim is objectively unreasonable if "any reasonable attorney would agree that [it] is totally and completely without merit." (*Ibid*.) However, "section 128.7 sanctions should be 'made with restraint' [Citation], and are not mandatory even if a claim is frivolous." (*Peake v. Underwood* (2014) 227 Cal.App.4th 428. at 448.) "When a motion has partial merit, it is not 'totally and completely' without merit." (*Gerbosi v. Gaims, Weil, W. & Epstein, LLP* (2011) 193 Cal. App. 4th 435, 450.) **<u>Merits</u>** Here, while the court ultimately did not agree with SFA's motion to disqualify, the court cannot find that the motion was without merit, made for an improper purpose, and/or lacked evidence. At the very least, SFA's motion had minimal partial merit that was based on facts and the law. First, SFA provided a legal basis for the motion. California Rules of Professional Conduct, rule 3.7 sets forth the attorney advocate-witness doctrine. "[T]he general rule is that an attorney may serve as both advocate and witness, testifying at trial concerning disputed issues, if the client has provided its informed written consent." (*Geringer v. Blue Rider Finance* (2023) 94 Cal.App.4th 813, 822.) But even with informed consent, "[A] court retains discretion to disqualify a likely advocate-witness as counsel, notwithstanding client consent, where there is 'a convincing demonstration of detriment to the opponent or injury to the integrity of the judicial process.' (*Lyle*[*v. Superior Court* (1981) 122 Cal.App.3d 470,] 482.)" (*Doe v. Yim* (2020) 55 Cal.App.5th 573, 581-582). While the court ultimately weighed the evidence and found that the factors weighed against disqualification, there was a sufficient legal basis for the motion. Second, SFA provided some evidentiary support for the motion.

		"In exercising its discretion to disqualify counsel under the advocate-witness rule, a court must consider: (1) ‘“‘whether counsel's testimony is, in fact, genuinely needed’”’; (2) ‘the possibility [opposing] counsel is using the motion to disqualify for purely tactical reasons’; and (3) ‘the combined effects of the strong interest parties have in representation by counsel of their choice, and in avoiding the duplicate expense and time-consuming effort involved in replacing counsel already familiar with the case.’ [Citation.]" (*Yim*, *supra*, 55 Cal.App.5th at pp. 583–584.) SFA's motion proffered facts related to these factors. • Factor 1—Genuinely Necessary Witness: It was undisputed that Attorney Charleston has personal knowledge of key events. Attorney Charleston was deposed in her capacity as Plaintiff's PMK witness. (*See Motion to DQ,* Pitet Decl., Ex. 1.) Among other things, her testimony related to her setting up, testing, attempting to resolve technical issues with, and ultimately closing Ellen and Stephen's e-mail accounts—all central issues in this case. (*See, e.g.,* Pitet Decl., Ex. 1 at pp. 29-65, 108, 129, 140.) As such, SFA did offer evidence that Attorney Charleston was a possible key witness. Nonetheless, the court ultimately found that Defendant did not establish that it was unable to fully elicit testimony from Attorney Charleston or fully advocate for its client at the first trial. • Factor 2—Possibility of Tactical Purpose: SFA offered the following evidence: After the mistrial, Attorney Charleston filed a claim with the State Bar against defense counsel Attorney Pitet, alleging that defendant counsel Pitet knowingly made false statements accusing her of destroying evidence and manufacturing facts and evidence. Attorney Pitet promptly responded to the inquiry, and the State Bar closed the matter without further investigation. Defendant SFA first moved to disqualify Attorney Charleston two months after the State Bar investigation had closed. Therefore, SFA did offer some evidence that SFA's delay in filing the motion was due to other reasons. The court, nevertheless, found that SFA's arguments were unpersuasive because Defendants knew as early as January 2023 and as late as June 2025 that Attorney Charleston would take on a dual role at trial and took no steps to disqualify, to object to Charleston's testimony or continued representation, or otherwise alert the court to this issue. • Factor 3—Plaintiff's Interest in Chosen Representation: There was evidence that Plaintiff has co-counsel, Outwater and Pinckes LLP. Ultimately, the court weighed in favor of

		Plaintiff's interest in its chosen counsel, Attorney Charleston, who actively participated in the underlying transaction and was extensively involved in this litigation since filing the action. In summary, while the court ultimately was unpersuaded and did not find the weight of SFA's evidence enough to warrant disqualification, there was at least minimal evidence to support each of the factors for disqualification. Finally, the court cannot, on the record before it, find that there is sufficient evidence that the motion was filed for an improper purpose/motive. While the court did find that "Defendant's lengthy delay in moving for disqualification supports a reasonable finding that this motion was made for tactical purposes" (Minute Order, dated 07/15/26), the court cannot find that the delayed filing shows the motion was filed for the purpose of harassment, causing unnecessary delay or needlessly increasing the cost of litigation. While SFA's motion to disqualify did have those indirect consequences, there is insufficient evidence that the purpose of the motion was to directly cause said consequences. SFA's counsel offers a declaration that the intent was to file the motion in good faith and the court accepts that testimony. For these reasons, the motion is DENIED. Plaintiff to give notice.
7	GSHC Surrogacy Agency LLC vs. Li	**TENTATIVE RULING:** For the reasons set forth below, the motion by Plaintiff/Cross-Defendant GSHC Surrogacy Agency, LLC ("GSHC") for attorneys' fees is DENIED. **<u>Fees Under CUTSA</u>** GSHC moves for attorneys' fees in the amount of $24,780.00 under Civil Code § 3426.4 as the prevailing party on a misappropriation of trades secret claim, which was allegedly made in bad faith. Attorney's fees are recoverable as costs, when authorized by contract, statute, or law. (Code Civ. Proc., § 1033.5(10)(A)-(C).) Defendants Sung Yoon Kim and Omniq, Inc. argue that Defendants are entitled to recover statutory fees pursuant to the California Uniform Trade Secrets Act ("CUTSA"). CUTSA provides that if "a claim of misappropriation is made in bad faith . . . the court may award reasonable attorney's fees and costs [including expert fees] to the

		prevailing party." (Civ. Code, § 3426.4.) CUTSA "authorizes the trial court to award attorney fees as a deterrent to specious trade secret claims." (*FLIR Sys., Inc. v. Parrish* (2009) 174 Cal.App.4th 1270, 1275; *see Gemini Aluminum Corp. v. Cal. Custom Shapes, Inc.* (2002) 95 Cal.App.4th 1249, 1261.) "Because the award is a sanction, a trial court has broad discretion in awarding fees." (*FLIR Sys., supra*, 174 Cal.App.4th at p. 1275.) Application of Civil Code section 3426.4 "naturally raises three questions: Is the defendant the prevailing party? Was the claim made in bad faith? And what is a reasonable fee?" (*Cypress Semiconductor Corp. v. Maxim Integrated Prods., Inc.* (2015) 236 Cal.App.4th 243, 253.) A defendant voluntarily dismissed from the action can be considered the prevailing party entitled to recover fees under CUTSA. (*See, e.g., SASCO v. Rosendin Electric, Inc.* (4th Dist.-Div. 3, 2012) 207 Cal.App.4th 837, *as modified on denial of reh'g (Aug. 7, 2012)*.) "Although the Legislature has not defined 'bad faith,' courts have developed a two-prong standard: (1) objective speciousness of the claim, and (2) [plaintiff's] subjective bad faith in bringing or maintaining the action, i.e., for an improper purpose." (*FLIR Sys., Inc. v. Parrish* (2009) 174 Cal.App.4th 1270, 1275; *see also Gemini Aluminum Corp., supra,* 95 Cal.App.4th at p. 1262.) "'Objective speciousness exists where the action superficially appears to have merit but there is a complete lack of evidence to support the claim.'" (*SASCO v. Rosendin Electric, Inc.* (2012) 207 Cal.App.4th 837, 845 [citing *FLIR Systems, supra,* 174 Cal.App.4th at p. 1276].) The court can find a claim objectively specious, even where the case is dismissed prior to trial and prior to the completion of discovery. (*SASCO, supra,* 174 Cal.App.4th at p. 845.) "Objective speciousness exists where the action superficially appears to have merit but there is a complete lack of evidence to support the claim." (*SASCO, supra,* 207 Cal.App.4th at p. 845 [citing *FLIR Systems, supra,* 174 Cal.App.4th at p. 1276].) The court can properly find a plaintiff's claim to be objectively specious, even where a case was dismissed prior to the completion of discovery and where the defendant is alleged to have withheld discovery. (*Id.*, at p. 845.) Whether, objectively speaking, it *appeared* to the plaintiff at the time of filing that some evidence would be obtained in discovery to support a misappropriation claim is irrelevant to the court's analysis. (*Id.* at pp. 847-848.) Subjective bad faith means the action was commenced or continued for an improper purpose, such as harassment, unnecessary delay, or to thwart competition. (*FLIR Systems,* 174 Cal.App.4th at p. 1278; *see*

		also SASCO, supra, 207 Cal.App.4th 837, 847*; Gemini, supra,* 95 Cal.App.4th at pp. 1264-1264.) Because there will rarely be direct proof of bad faith, the court may infer a plaintiff's state of mind from circumstantial evidence. (*Gemini, supra,* 95 Cal.App.4th at p. 1263.) Bad faith "may be inferred where the specific shortcomings of the case are identified by opposing counsel, and the decision is made to go forward despite the inability to respond to the arguments raised." (*Id.*, at p. 1264.) An absence of evidence alone, however, is insufficient to support a finding of subjective bad faith. (*SASCO, supra,* 207 Cal.App.4th at p. 847 [noted *in dicta*].) **<u>Bad Faith not Established</u>** **1. Objective Speciousness** GSHC argues that Cross-Complainants' claims are objectively specious because Cross-Complainants never responded to GSHC's pre-litigation letter, which asked Cross-Complainants for evidence of stolen files. Further, GSHC argues that the claims alleged against it are legally insufficient because all non-misappropriation claims were preempted by CUTSA and because the misappropriation claims did not specifically allege the protectable trade secrets. The elements of a cause of action under the CUTSA are: (i) possession by the plaintiff of a trade secret; (ii) the defendant's misappropriation of the trade secret, meaning its wrongful acquisition, disclosure, or use; and (iii) resulting or threatened injury to the plaintiff. (*See* Civ. Code, §§ 3426.1-3426.3.) CUTSA defines a trade secret as "information, including a formula, pattern, compilation, program, device, method, technique, or process, that: (1) Derives independent economic value, actual or potential, from not being generally known to the public or to other persons who can obtain economic value from its disclosure or use; and (2) Is the subject of efforts that are reasonable under the circumstances to maintain its secrecy." (Civ. Code, § 3426.1(d).) Customer lists may, in certain circumstances, satisfy the definition of a trade secret. (*See, e.g., Courtesy Temporary Service, Inc. v. Camacho* (1990) 222 Cal.App.3d 1278, 1287 [reversing the trial court's denial of injunction based on its finding that plaintiff's customer list was "not any secret"]; *see American Paper & Packaging Products, Inc. v. Kirgan* (1986) 183 Cal.App.3d 1318; *Hofmann Corp. v. Superior Court* (1985) 172 Cal.App.3d 357.) "A list of customers or subscribers 'built up by ingenuity, time, labor and expense of the owner over a period of many years is property of the employer,' and ' "[k]knowledge of such a list, acquired by an employee by reason of his employment, may not be

used by the employee as his own property or to his employer's prejudice."'" (*Courtesy Temporary Service, supra,* 222 Cal.App.3d at p. 1287 [citing *Greenly v. Cooper* (1978) 77 Cal.App.3d 382, 392].)

Here, Cross-Complainants offered evidence that Cross-Defendant Qimei Long signed an employment agreement with Plaintiff/Cross-Defendant GSHC, in which Long agreed that certain information would be kept confidential and that certain information would constitute trade secrets. Long then was employed by Plaintiff/Cross-Defendant. Cross-Complainants identify the information that they contend constitute trade secrets. (Cross-Complaint, ¶ 47). Cross-Complainants contend in their opposition that they dismissed the cross-complaint when they realized that they were not the holders of the alleged trade secrets. This is sufficient to show that there is at least minimal merit to Cross-Complainants' trade secrets claim such that it is not objectively specious. Indeed, while the court agrees with GSHC that this is a close call in that Cross-Complainants did not offer evidence of the misappropriation of trade secret in their opposition, objective speciousness alone is not sufficient to award fees under section 3426.4. GSHC must also show subjective bad faith as well.

2. Subjective Bad Faith

GSHC argues that Cross-Complainants' subjective bad faith can be inferred from their failure to respond to a pre-litigation letter, their responses to discovery questions, in which Cross-Complainants responded with "N/A" and Cross-Complainants' dismissal of the action without prejudice. The court does not find that such conduct establishes subjective bad-faith.

First, as to the pre-litigation letter that asks Cross-Complainants to provide evidence for their claims: Whether or not cross-complainants responded to the letter does not establish subjective bad faith. There is no duty to provide evidence to opposing counsel prior to litigation.

Second, as to the discovery responses, Cross-Complainants explain that after filing the cross-complaint, they realized that the wrong entity was named and that they do not hold the rights to the trade secrets. Reproductive Sciences Management Company, Inc. does not hold the fictitious business name rights to Physician's Surrogacy, Inc. Rather, the fictitious business name rights is held by PS Company Management. The court accepts Cross-Complainants' explanation for these discovery responses.

Finally, the voluntary dismissal of the cross-complaint without more does not suggest a subjective bad faith motive. The cross-complaint

		was filed on January 15, 2026. Once Cross-Complainants realized their mistake, the cross-complaint was dismissed in March 2026. Only two months have passed before dismissal, which does not tend to show that Cross-Complainants were trying to use the cross-complaint as a means for harassment, unnecessary delay, or to thwart competition. For these reasons, the motion is DENIED. Cross-Complainants to give notice.
8	Hamidi vs. Gordonstone & Tiles, Inc.	**OFF CALENDAR**
9	Mills vs. Nexgen Air Conditioning and Heating, LLC	**CONTINUED TO 9/9/26**
10	Rodriguez vs. American Honda Motor CO., INC	**TENTATIVE RULING:** For the reasons set forth below, the Motion to Tax Costs brought by Defendant American Honda Motor Co., Inc. is GRANTED in part. The Court will tax $89.50 in costs incurred after March 19, 2026, from the Memorandum of Costs filed by Plaintiff Robert Andrew Rodriguez. “[A] prevailing party is entitled as a matter of right to recover costs in any action or proceeding.” (Code Civ. Proc., § 1032, subd. (b).) Additionally, a “prevailing party” includes “the party with a net monetary recovery….” (Code Civ. Proc., § 1032, sub. (a)(4).) In addition to the above, pursuant to Civil Code section 1794, subdivision (d), a prevailing buyer in a Song-Beverly action “shall be allowed by the court to recover as part of the judgment a sum equal to the aggregate amount of costs and expenses…determined by the court to have been reasonably incurred by the buyer in connection with the commencement and prosecution of such action.” (Civ. Code, § 1794, subd. (d).) There is no dispute that Plaintiff is the prevailing party pursuant to the accepted section 998 Offer. (Declaration of Ashleigh K. Gideon (“Gideon Decl.”), ¶¶ 2-3, Ex. A [998 Offer, ¶ 2: “[Defendant] will also pay Plaintiff’s statutory costs and expenses under California Civil Code section 1794(d)…. Plaintiff will be considered the prevailing party.”].)

		Further, the Court finds that both the memorandum of costs and the instant motion were timely filed. Per California Rules of Court rule 3.1700, “[a] prevailing party who claims costs must serve and file a memorandum of costs within 15 days after the date of service of the notice of entry of judgment…or within 180 days after entry of judgment, whichever is first.” (Cal. Rules of Court rule 3.1700(a)(1).) Plaintiff filed his memorandum of costs on May 4, 2026, *prior* to judgment being entered. Notably, the premature filing of a memorandum of costs is not jurisdictional and is treated as “a mere irregularity at best” that “does not constitute reversible error absent a showing of prejudice.” (*Haley v. Casa Del Rey Homeowners Assn.* (2007) 153 Cal.App.4th 863, 880.) Thereafter, “[a]ny notice of motion to strike or tax costs must be served and filed 15 days after service of the cost memorandum.” (Cal. Rules of Court, rule 3.1700(b)(1).) If the cost memorandum is electronically served, the deadline is extended by two court days under Code of Civil Procedure section 1010.6(a)(3). (Ibid.) Here, Defendant timely filed and electronically served the motion on May 21, 2026, within the 15-day period as extended by two court days for electronic service. “In ruling upon a motion to tax costs, the trial court’s first determination is whether the statute expressly allows the particular item and whether it appears proper on its face.” (*Foothill-De Anza Community College Dist. v. Emerich* (2007) 158 Cal.App.4th 11, 29.) “If so, the burden is on the objecting party to show [the costs] to be unnecessary or unreasonable.” (*Ibid.* [internal quotations omitted].) “[I]f the items are properly objected to, they are put in issue and the burden of proof is on the party claiming them as costs.” (*Nelson v. Anderson* (1999) 72 Cal.App.4th 111, 131.) “[T]he mere filing of a motion to tax costs may be a ‘proper objection’ to an item, the necessity of which appears doubtful, or which does not appear to be proper on its face.” (*Ibid.*) “However, ‘[i]f the items appear to be proper charges, the verified memorandum is prima facie evidence that the costs, expenses and services therein listed were necessarily incurred by the [prevailing party], and the burden of showing that an item is not properly chargeable or is unreasonable is upon the [objecting party].” (*Ibid.*) “Where costs are not expressly allowed by statute, the burden is on the party claiming the costs to show that the charges were reasonable and necessary.” (*Foothill-De Anza Community College Dist. v. Emerich* (2007) 158 Cal.App.4th 11, 29.) “Whether a cost item was reasonably

		necessary to the litigation presents a question of fact for the trial court and its decision is reviewed for abuse of discretion." (*Ibid.* [internal quotations omitted].) The Court has the ability to disallow costs that are otherwise identified as recoverable, "when it determines the costs were incurred unnecessarily." (*Perko's Enterprises, Inc. v. RRNS Enterprises* (1992) 4 Cal.App.4th 238, 245, citing Code Civ. Proc., §1033.5, subd. (c)(2) ["Allowable costs shall be reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation."]) Defendant challenges $2,008.25 of Plaintiff's $4,508.05 in claimed costs, consisting of: (1) $89.50 in costs incurred after Defendant's March 19, 2026, section 998 Offer; (2) $1,821.25 in expert witness fees for a vehicle inspection; and (3) $97.50 in filing and electronic filing or service fees associated with Plaintiff's Motion to Compel and related IDC proceedings. Defendant requests that the memorandum of costs be stricken in its entirety or, alternatively, that Plaintiff's costs be reduced by $2,008.25, from $4,508.05 to $2,499.80. Plaintiff opposes each challenged item and seeks recovery of the full $4,508.05. To the extent Defendant seeks to strike the memorandum of costs in its entirety, the request is denied. The challenged items appear proper on their face, and Plaintiff's verified Memorandum of Costs constitutes prima facie evidence that they were necessarily incurred. The specific objections are therefore addressed individually below. **1. Post-998 Offer Costs:** Defendant seeks to tax $89.50 in costs incurred after its March 19, 2026, section 998 Offer. Defendant identifies $89.50 in costs incurred on March 23 and 24, 2026, consisting of $4.50 in filing fees, $22.00 in electronic filing or service fees, and $63.00 in other First Legal fees. The Offer provides that Defendant will pay Plaintiff's statutory costs and expenses under Civil Code section 1794(d), including reasonable attorney's fees, determined by the Court to have been reasonably incurred "to, and including, the date of this Offer." (Gideon Decl., ¶ 2, Ex. A.) Plaintiff accepted the Offer. (Id., ¶ 3.) Plaintiff does not dispute that these costs were incurred after March 19, 2026. Instead, Plaintiff relies on Civil Code sections 3513 and 1790.1 and argues that the limitation on post-offer costs constitutes an unenforceable waiver of rights under the Song-Beverly Act. Plaintiff

		further contends Defendant's section 998 Offer is ambiguous and contains impermissible one-sided conditions. Plaintiff's argument is unpersuasive. The Offer expressly limits recoverable costs and expenses to those incurred "to, and including, the date of this Offer." That language is unambiguous and does not encompass costs incurred after March 19, 2026. Although Civil Code section 3513 provides that "[a] law established for a public reason cannot be contravened by a private agreement," and Civil Code section 1790.1 broadly prohibits waiver of rights afforded by the Song-Beverly Act, neither provision categorically prohibits the settlement of Song-Beverly claims. Further, settling parties remain free to agree to their own allocation of costs and attorney fees. (*Madrigal v. Hyundai Motor America* (2025) 17 Cal.5th 592, 602 [the parties remain free to agree to their own allocation of costs and attorney fees as part of the settlement agreement].) Accordingly, the motion is GRANTED as to the $89.50 in costs incurred after March 19, 2026. **2. Expert Witness Fees:** Defendant seeks to tax $1,821.25 incurred for Plaintiff's expert's inspection of the Subject Vehicle, relying on Code of Civil Procedure section 1033.5, subdivision (b)(1), which generally excludes fees of experts not ordered by the court. That provision, however, does not preclude recovery of expert witness fees by a prevailing Song-Beverly plaintiff. In *Jensen v. BMW of North America, Inc*. (1995) 35 Cal.App.4th 112, 137-138, the court held that Civil Code section 1794(d)'s authorization of "costs and expenses" permits recovery of expert witness fees notwithstanding section 1033.5, subject to the requirement that such fees were reasonably incurred in connection with the commencement and prosecution of the action. Here, the inspection occurred on March 11, 2026, before Defendant's section 998 Offer and shortly before the then-operative March 30, 2026, trial date. Plaintiff contends the inspection was necessary to evaluate the Subject Vehicle, assess the alleged defects, and prepare the case for trial. Defendant does not otherwise demonstrate that the $1,821.25 charge was unreasonable. The expense therefore appears reasonably incurred in connection with Plaintiff's prosecution of the action. Accordingly, the motion is DENIED as to the $1,821.25 expert witness fee.

		3. Costs Associated with Motion to Compel and IDC Proceedings: Defendant also seeks to tax $97.50 in filing and electronic filing or service fees related to Plaintiff's Motion to Compel and the associated IDC proceedings. Defendant argues the costs were unnecessary because Plaintiff withdrew the motion shortly before the August 18, 2025, IDC, despite Defendant's meet-and-confer efforts and offers to extend the motion deadline while it reevaluated its discovery responses. Defendant further contends Plaintiff withdrew the motion because counsel would not appear in person for the IDC. Plaintiff, in opposition, contends that the motion was reasonably necessary when filed because Defendant's discovery responses were deficient and Defendant repeatedly sought additional time to reevaluate and supplement them. Plaintiff further explains that the Motion was withdrawn because counsel lacked an attorney available to attend the August 18, 2025, in-person IDC. Filing and motion fees are expressly allowable under Code of Civil Procedure section 1033.5, subdivision (a)(1). Fees for electronic filing or service are likewise recoverable where the court requires electronic filing or service. (Code Civ. Proc., § 1033.5, subd. (a)(14).) Such costs, however, must still be reasonably necessary to the conduct of the litigation. Defendant has not shown that the challenged costs were unnecessary. The record reflects ongoing discovery disputes and Defendant's requests for additional time to reevaluate and supplement its responses. Plaintiff's later withdrawal of the Motion does not establish that the related costs were unnecessary when incurred. Accordingly, the motion is DENIED as to the $97.50 in filing and electronic filing or service fees associated with the Motion to Compel and related IDC proceedings. Defendant to give notice.
11	Singh vs. JBT Aerotech Corporation	**TENTATIVE RULING:** For the reasons set forth below, Counsel Marc Grossman's unopposed motion to be relieved as counsel of record for Plaintiff Jaswinder Singh is GRANTED. Counsel Marc Grossman is ORDERED to submit to this court a revised proposed Order Granting Attorney's Motion to Be Relieved

		as Counsel– Civil (Form MC-053) <u>removing from the order the deposition rescheduling in paragraph 8.</u> Counsel shall be relieved as counsel of record for Plaintiff effective upon the filing of a proof of service to the client and all parties showing timely service of the signed Form MC-053 and notice of this ruling. The court finds that Counsel has complied with the requirements of Rule 3.1362 of the California Rules of Court, including serving the client with the motion papers by mail, after confirming within the last 30 days that the address is the client's current address. Counsel also has declared a justifiable reason to be relieved as counsel — breakdown of the relationship with the client. (See Form MC-052 Attorney Decl. ¶ 2.) Therefore, the court will grant the motion to be relieved as counsel. Counsel does not state when Plaintiff's deposition is set to occur. Furthermore, Counsel does not state if Defendants' counsel agreed to rescheduling the deposition that was (presumably) noticed. The court will not order rescheduling without this information. Moving Counsel shall give notice.
12	Smith vs. Mendez	**TENTATIVE RULING:** **<u>Motion for Summary Judgment</u>** For the reasons set forth below, Defendant Susan Mendez's motion for summary judgment in favor of Defendant and against Plaintiff Thomas Smith is DENIED. Defendant's objections are overruled. The court notes Objection Nos. 1-6 concern evidence that Defendant also submitted in support of her motion for summary judgment. **<u>Statement of Law</u>** "Summary judgment shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law." (Civil Proc. Code, § 437c, subd. (c).)

A "party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact . . . ." (*Aguilar v. Atlantic Richfield Co*. (2001) 25 Cal.4th 826, 850.) "A prima facie showing is one that is sufficient to support the position of the party in question." (*Id*. at 851.)

A defendant moving for summary judgment satisfies the initial burden by submitting undisputed evidence "showing that a cause of action has no merit [because] one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to the cause of action." (Civil Proc. Code § 437c, subd. (p)(2); *Aguilar v. Atlantic Richfield Co*., *supra*, 25 Cal.4th at pp. 850-51.) However, "[t]he defendant must indeed present evidence." (*Aguilar v. Atlantic Richfield Co*., *supra*, 25 Cal.4th at p. 855, italics original.)

In addition, if a plaintiff has pleaded several theories, the defendant has the burden of demonstrating there are no material facts requiring trial on any of them. (*Carlsen v. Koivumaki* (2014) 227 Cal.App.4th 879, 889.) If a defendant fails to meet this initial burden, the plaintiff need not oppose the motion and the motion must be denied. (*Binder v. Aetna Life Ins. Co*. (1999) 75 Cal.App.4th 832, 840.)

If the moving party meets its burden, the burden then shifts to the party opposing summary judgment to show, by reference to specific facts, the existence of a triable, material issue as to a cause of action or an affirmative defense. (*Aguilar v. Atlantic Richfield Co*., *supra*, 25 Cal.4th at p. 855; *Villacres v. ABM Industries, Inc*. (2010) 189 Cal.App.4th 562, 575.)

The nonmoving party must present substantial evidence in order to avoid summary judgment. (*Sangster v. Paetkau* (1998) 68 Cal.App.4th 151, 163.) "In some instances…, 'evidence may be so lacking in probative value that it fails to raise any triable issue.'" (*Whitmire v. Ingersoll-Rand Co*. (2010) 184 Cal.App.4th 1078, 1083-1084, quoting *Advanced Micro Devices, Inc. v. Great American Surplus Lines Ins. Co*. (1988) 199 Cal.App.3d 791, 795.) "'If the plaintiff is unable to meet her burden of proof regarding an essential element of her case, all other facts are rendered immaterial.'" (*Saelzler v. Advanced Group 400* (2001) 25 Cal.4th 763, 780, quoting *Leslie G. v. Perry & Associates* (1996) 43 Cal.App.4th 472, 482.) 482.)

In ruling on a motion for summary judgment, "the court must 'consider all of the evidence' and 'all' of the 'inferences' reasonably

		drawn therefrom, and must view such evidence and such inferences in the light most favorable to the opposing party." (*Aguilar v. Atlantic Richfield Co., supra*, 25 Cal.4th at p. 843, citations omitted.) Courts "'construe the moving party's affidavits strictly, construe the opponent's affidavits liberally, and resolve doubts about the propriety of granting the motion in favor of the party opposing it.'" (*Unilab Corp. v. Angeles-IPA* (2016) 244 Cal.App.4th 622, 636, quoting *Seo v. All–Makes Overhead Doors* (2002) 97 Cal.App.4th 1193, 1201–1202.) A court may not make credibility determinations or weigh the evidence on a motion for summary judgment or adjudication, and all evidentiary conflicts are to be resolved against the moving party. (*McCabe v. American Honda Motor Corp*. (2002) 100 Cal.App.4th 1111, 1119.) "The court . . . does not resolve issues of fact. The court seeks to find contradictions in the evidence, or inferences reasonably deducible from the evidence, which raise a triable issue of material fact." (*Johnson v. United Cerebral Palsy, etc*. (2009) 173 Cal.App.4th 740, 754, citation omitted.) "[S]ummary judgment cannot be granted when the facts are susceptible [of] more than one reasonable inference . . ." (*Rosas v. BASF Corp*. (2015) 236 Cal.App.4th 1378, 1392.) **<u>Relevant Background</u>** A dog-bite incident (the "Incident") occurred on August 4, 2022, at the property located at 12381 Beck Avenue, Garden Grove, California 92801 (the "Property"). (Def. Compendium of Evidence ("COE"), Exh. B, Susan Mendez ("S. Mendez") Depo. Tr. at 14:20-15:9 [ROA 44].) At the time of the Incident, Defendant owned the Property. (S. Mendez Depo. Tr. at 33:7-10.) Defendant did not reside at the Property during the relevant period. (S. Mendez Depo. Tr. at 25:16-26:7.) On the date of the Incident, the former fiancé of Defendant's granddaughter, Darlene Mendez, lived at the Property with Darlene's daughter. (S. Mendez Depo. Tr. at 26:12-21.) Darlene had passed away on August 10, 2021. (S. Mendez Depo. Tr. at 26:19-27:27:8.) Defendant's daughter, Dolores Mendez, was homeless at the time of the Incident. (S. Mendez Depo. Tr. at 29:1-4.) Defendant told Dolores that Defendant did not want Dolores living at the Property, but gave Dolores permission to shower, wash clothes, cook, and eat at the Property. (S. Mendez Depo. Tr. at 29:11-30:6.) Defendant knew that Dolores would at times sleep at the Property. (S. Mendez Depo. Tr. at 29:10-11, 30:7-14, 30:25-31:7.)

		Dolores had two dogs, Roxy and Trigger. (S. Mendez Depo. Tr. at 35:12-20.) When Dolores stayed at the Property, Roxy and Trigger would stay as well. (S. Mendez Depo. Tr. at 35:12-17.) Defendant was not at the Property on the date of the Incident. (S. Mendez Depo. Tr. at 41:2-8.) Defendant did not know Dolores was at the Property on the date of the Incident. (S. Mendez Depo. Tr. at 67:17-19.) On the day of the Incident, Plaintiff went up the driveway on the Property and approached the Property's gate. (Pl. Compendium of Evidence ("COE"), Exh. 2, Smith Depo. Tr. at 20:15-21 [ROA 82].) Plaintiff heard two dogs barking and stopped where he was. (Smith Depo. Tr. at 20:20-22.) The gate was open and two dogs ran toward Plaintiff. (Smith Depo. Tr. at 20:22-23.) One of the dogs jumped on Plaintiff to bite at Plaintiff's face. (Smith Depo. Tr. at 20:23-24.) Plaintiff put his hand up to guard his neck and the dog bit Plaintiff's hand. (Smith Depo. Tr. at 20:24-25, 21:5-6.) Plaintiff saw people outside. (Smith Depo. Tr. at 21:7.) With his hand still in the dog's mouth, Plaintiff asked the people to grab their dogs. (Smith Depo. Tr. at 21:9-11.) Plaintiff eventually ripped his hand out of the dog's mouth, turned, and ran towards the fence. (Smith Depo. Tr. at 21:12-14.) Plaintiff jumped over the fence holding his hand. (Smith Depo. Tr. at 21:14.) **<u>First Cause of Action for Premises Liability/Negligence</u>** The first cause of action for premises liability/negligence alleges that on or about August 4, 2022, Plaintiff was lawfully on the property located at 12381 Beck Avenue, Garden Grove, California 92801 (the "Property"). (Compl. ¶¶ 5, 8.) Defendant owned, maintained, lived in, controlled, managed, supervised, and exercised control over the Property. (*Id*. at ¶ 5.) The Complaint alleges Defendant and DOES 26-50 were the owners of two pit bull dogs that were kept at the Property. (*Id*. at ¶ 6.) Defendant and DOES 1-50 had ownership, control, maintenance, management and supervision over the Pit Bulls at the time of the dog bite incident (the "Incident"). The Complaint alleges Defendant had a duty to make sure that no dangerous dogs were kept at the Property or to properly restrain the dogs so that they would not be able to bite people who lawfully walked onto the Property. (Compl. ¶ 9.) Defendant allowed an unreasonably dangerous condition to exist at the Property, namely Defendant knew the two dangerous dogs had "vicious propensities and temperaments" and allowed them to roam on the Property without proper supervision or restraint. (*Id*. at ¶ 10.) Defendant failed

		to warn about the dangerous condition, which was not reasonably apparent to a salesperson approaching the door for the first time. (*Id*. ¶¶ 10-11.) On August 4, 2022, Plaintiff walked through the open front gate to knock on the front door to sell solar panels to Defendants. (Compl. ¶ 14.) Defendants negligently failed to maintain, manage, control, supervise, watch over and monitor the Property and the dogs. (*Id*. at ¶¶ 8, 14.) As a result, the dogs were allowed to attack and bite Plaintiff. (*Id*.) " 'The elements of a cause of action for premises liability are the same as those for negligence.' [Citation.] Accordingly, the plaintiff must prove, ' "a legal duty to use due care, a breach of such legal duty, and the breach as the proximate or legal cause of the resulting injury." ' " (*Jones v. Awad* (2019) 39 Cal.App.5th 1200, 1207.) Premises liability is grounded in possession and control of the premises, and "control is defined as the power to prevent, remedy or guard against the dangerous condition. [Citation]" (*Colonial Van & Storage, Inc. v. Superior Court* (2022) 76 Cal.App.5th 487, 497 [internal quotation marks omitted].) Defendant contends Plaintiff's negligence causes of action have no merit because Plaintiff cannot establish that Defendant owed Plaintiff a duty of care with respect to the dog which bit Plaintiff. " 'Generally, one owes a duty of ordinary care not to cause an unreasonable risk of harm to others ….' [Citation.]" (*Padilla v. Rodas* (2008) 160 Cal.App.4th 742, 747.) "Civil Code section 1714 sets forth the general duty of a property owner toward others: 'Everyone is responsible, not only for the result of his or her willful acts, but also for an injury occasioned to another by his or her want of ordinary care or skill in the management of his or her property or person, except so far as the latter has, willfully or by want of ordinary care, brought the injury upon himself or herself.' The application of this provision entails an inquiry as to 'whether in the management of his property he has acted as a reasonable [person] in view of the probability of injury to others....' [Citations.]" (*Laico v. Chevron U.S.A., Inc.* (2004) 123 Cal.App.4th 649, 659.) A landowner " ' "has an *affirmative duty* to exercise ordinary care to keep the premises in a reasonably safe condition, and therefore must *inspect* them or take other proper means to ascertain their condition. And if, by the exercise of reasonable care, he would have discovered the dangerous condition, he is liable." ' [Citation.]" (*Portillo v. Aiassa* (1994) 27 Cal.App.4th 1128, 1134.)

		" 'Under California law, a landlord who does not have actual knowledge of a tenant's dog's vicious nature cannot be held liable when the dog attacks a third person.' " (*Fraser v. Farvid* (2024) 99 Cal.App.5th 760, 763, quoting *Donchin v. Guerrero* (1995) 34 Cal.App.4th 1832, 1838.) The reason is that " '[w]ithout knowledge of a dog's propensities a landlord will not be able to foresee the animal poses a danger and thus will not have a duty to take measures to prevent the attack.' " (*Ibid*.) While the " 'actual knowledge rule' can be satisfied 'by circumstantial evidence the landlord *must* have known about the dog's dangerousness as well as direct evidence [that] he *actually* knew' " (*ibid*.), an inference based on circumstantial evidence "must reflect the landlord's actual knowledge and not merely constructive knowledge or notice." (*Donchin, supra*, 34 Cal.App.4th at p. 1839.) "[A] duty of care arises when the landlord has actual knowledge of the presence of the dangerous animal and when he has the right to remove the animal by retaking possession of the premises" (*Uccello v. Laudenslayer* (1975) 44 Cal.App.3d 504, 507.) "[W]here a landlord has relinquished control of property to a tenant, a 'bright line' rule has developed to moderate the landlord's duty of care owed to a third party injured on the property as compared with the tenant who enjoys possession and control. Because a landlord has relinquished possessory interest in the land, his or her duty of care to third parties injured on the land is attenuated as compared with the tenant who enjoys possession and control. Thus, before liability may be thrust on a landlord for a third party's injury due to a dangerous condition on the land, the plaintiff must show that the landlord had actual knowledge of the dangerous condition in question, plus the right and ability to cure the condition." (*Salinas v. Martin* (2008) 166 Cal.App.4th 404, 412 [internal quotation marks and citation omitted].) It is undisputed that a dog-bite incident (the "Incident") occurred on August 4, 2022, at the property located at 12381 Beck Avenue, Garden Grove, California 92801 (the "Property"). (Def. Compendium of Evidence ("COE"), Exh. B, Susan Mendez ("S. Mendez") Depo. Tr. at 14:20-15:9.) At the time of the Incident, Defendant owned the Property. (S. Mendez Depo. Tr. at 33:7-10.) Defendant provided evidence that Defendant did not reside at the Property during the relevant period. (S. Mendez Depo. Tr. at 25:16-26:7.) On the date of the Incident, the former fiancé, Junior, of Defendant's granddaughter, Darlene Mendez, lived at the Property with Darlene's daughter. (S. Mendez Depo. Tr. at 26:12-21.) Darlene had passed away on August 10, 2021. (S. Mendez Depo. Tr. at 26:19-27:27:8.)

		Defendant's daughter, Dolores Mendez, was homeless at the time of the Incident. (S. Mendez Depo. Tr. at 29:1-4.) Defendant told Dolores that Defendant did not want Dolores living at the Property, but gave Dolores permission to shower, wash clothes, cook, and eat at the Property. (S. Mendez Depo. Tr. at 29:11-30:6.) Defendant knew that Dolores would at times sleep at the Property. (S. Mendez Depo. Tr. at 29:10-11, 30:7-14, 30:25-31:7.) Like the homeowner in *Salinas v. Martin* (2008) 166 Cal.App.4th 404, Defendant is not an absentee landlord with limited access to the Property. Defendant did not submit evidence demonstrating she surrendered her possessory interest in the Property in any way. Rather, Defendant's evidence indicates that she continued to control the Property at least intermittently. Defendant would try to make it to the Property to "pick up mail or just kind of walk through the house." (S. Mendez Depo. Tr. at 28:5-11.) Defendant also told Dolores that Defendant did not want Dolores living at the Property, but gave Dolores permission to shower, wash clothes, cook, and eat at the Property. (S. Mendez Depo. Tr. at 29:11-30:6.) Defendant knew that Dolores would at times sleep at the Property. (S. Mendez Depo. Tr. at 29:10-11, 30:7-14, 30:25-31:7, 71:19-21.) Dolores had two dogs. (S. Mendez Depo. Tr. at 35:12-20.) Defendant knew that the dogs would stay with Dolores when Dolores stayed at the Property. (S. Mendez Depo. Tr. at 35:12-17, 71:19-24.) There is no evidence suggesting Junior or Dolores were vested with exclusive possession of the Property or that Dolores was entitled to keep her dogs there without express permission granted by Defendant. Defendant did not meet her initial burden to show Defendant did not owe a duty of care to Plaintiff. Defendant's own evidence demonstrates a triable issue of fact as to the scope of Defendant's duty. Under the facts, there is a question regarding whether Defendant possessed the means to control the subject dog *or* the Property, and could have taken steps to prevent the harm. If so, then it would be improper to apply the standard of duty for landlords who have relinquished control over their property to a tenant. Evidence of Defendant's actual knowledge about the dangerous nature of the dogs and Defendant's ability to prevent the attack would be insufficient. Rather, the totality of factors set forth in *Rowland v. Christian* (1968) 69 Cal.2d 108 would determine the scope of Defendant's duty. (*Salinas*, *supra*, 166 Cal.App.4th at p. 415.) Defendant briefly argues that she did not breach her duty of care to Plaintiff because Defendant had no prior knowledge that the subject dog had any dangerous propensities. Defendant provided evidence

		that Defendant did not know the subject dog well enough to describe the dog's temperament or how Dolores's dogs would act at a dog park. (S. Mendez Depo. Tr. at 75:3-5, 79:23-25.) Defendant did not remember hearing if Dolores had ever told Defendant that the subject dog had shown aggression toward males. (S. Mendez Depo. Tr. at 76:25-77:18.) Defendant recalled that Dolores had skinned her knees while walking the subject dog but could not remember the particulars of what had happened. (S. Mendez Depo. Tr. at 77:5-15.) Defendant did not meet her initial burden to show Defendant did not breach a duty of care. The proffered evidence is not sufficient to establish Defendant's lack of prior knowledge that the subject dog had dangerous propensities. Rather, the evidence indicates that Defendant could not describe the subject dog's temperament and could not recall whether she had been told about any previous instances of aggression involving the subject dog. In her Reply, Defendant argues that Plaintiff cannot establish causation. Because the issue of causation was not raised in Defendant's opening brief, it is forfeited. "Points raised for the first time in a reply brief will ordinarily not be considered, because such consideration would deprive the [responding party] of an opportunity to counter the argument." (*American Drug Stores, Inc. v. Stroh* (1992) 10 Cal.App.4th 1446, 1453.) **<u>Second Cause of Action for Negligence Per Se and Third Cause of Action for Strict Liability</u>** The second cause of action for negligence per se incorporates the allegations above and further alleges Defendant's actions violated Civil Code section 3342.5, subdivision (a) which provides: "The owner of any dog that has bitten a human being shall have the duty to take such reasonable steps as are necessary to remove any danger presented to other persons from bites by the animal." (Compl. ¶ 23.) The third cause of action for strict liability alleges Defendant's actions violated Civil Code section 3342.5, subdivision (a) which provides: "The owner of any dog that has bitten a human being shall have the duty to take such reasonable steps as are necessary to remove any danger presented to other persons from bites by the animal." (Compl. ¶ 25.) Defendant argues that Plaintiff's claims for violation of Civil Code section 3342.5 must fail because "it is undisputed that Defendants did not own the subject dog" (Motion at 9:1-2 [ROA 43]) and that "there is no doubt the dog belonged to Defendant's daughter" (*id*. at 9:2-3.) Defendant, however, did not include this fact in her Separate

		Statement (see generally ROA 36) or cite to any evidence to support this proposition. “Facts stated elsewhere [other than in the separate statement] need not be considered by the court [citation] ….” (*Fleet v. CBS, Inc.* (1996) 50 Cal.App.4th 1911, 1916, fn. 3.) Moreover, arguments raised in briefs constitute the unsworn statements or testimony of counsel, which do not constitute evidence within the meaning of the Evidence Code. (*In re Zeth S.* (2003) 31 Cal.4th 396, 413, fn. 11; *see In re Marriage of Pasco* (2019) 42 Cal.App.5th 585, 592 [arguments of counsel are not evidence]; see *DiCola v. White Brothers Performance Products, Inc.* (2008) 158 Cal.App.4th 666, 683 [in context of motion for summary judgment, counsel’s unsworn statements not evidence].) Defendant did not meet her initial burden to show Defendant was not the owner of the subject dog. The motion for summary judgment is denied. Plaintiff to give notice.
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